

AtlasGrid Systems - illustrative investment committee memorandum

Illustrative synthetic case - not investment advice

Provisional posture: REPRICE

Recommendation

The asking price does not compensate for definition quality, concentration, fully burdened margins, or leverage fragility. A restructured entry with the same debt quantum clears the declared return hurdles.

The asking price fails the frozen return hurdle. The selected upfront structure clears the base hurdle while preserving the declared downside floor; open diligence conditions and human IC review still prevent approval.

CASE	UPFRONT EV	GROSS IRR	GROSS MOIC	EXIT DEBT	MINIMUM LIQUIDITY	COVENANT BREACH
Seller ask	\$240M	17.6%	2.3x	\$16.4M	\$3.2M	None
Selected	\$210M	23.3%	2.8x	\$16.4M	\$3.2M	None
Downside	\$210M	6.2%	1.3x	\$45.6M	\$3.2M	None

Price and structure

- Maximum upfront bid under the fixed selected terms: **\$215.4M**.
- Selected sponsor equity at close: **\$102M**.
- Funded term debt at face: **\$120M**; the undrawn revolver remains liquidity capacity, not a source.
- Selected contingent earnout paid in the modeled base case: **\$4.5M**; downside payout: **\$0**.

Operating case and valuation bridge

METRIC	ENTRY / LTM	EXIT / YEAR 5	UNDERWRITING IMPLICATION
ARR	\$76.2M	\$122M	Full-cohort retention, not active-only retention, anchors the path.
Revenue	\$83.9M	\$134.3M	Monthly exit revenue is annualized for comparability.
Normalized / lender EBITDA	\$25.9M	\$47.9M	Entry earnings are normalized from QoE; exit uses the lender schedule.
Gross margin	72.79%	Scenario path	Fully burdened costs remain included.
Entry EV / normalized EBITDA	8.10x	-	Price discipline is tested against normalized, not seller-adjusted, EBITDA.
Entry EV / LTM revenue	2.50x	-	Revenue multiple is a cross-check, not the return engine.
Exit EV / lender EBITDA	-	6.50x	Exit multiple is a human scenario assumption.

Leverage, liquidity, and covenant workpaper

YEAR	SELECTED DEBT	SELECTED LIQUIDITY	SELECTED LEVERAGE	SELECTED HEADROOM	DOWNSIDE DEBT	DOWNSIDE HEADROOM
1	\$108.6M	\$3.3M	3.87x	1.38x	\$110.6M	0.94x
2	\$93M	\$3.5M	2.89x	2.36x	\$98.6M	1.73x
3	\$73M	\$3.6M	1.98x	3.27x	\$84M	2.49x
4	\$47.7M	\$3.7M	1.13x	4.12x	\$66.4M	3.24x
5	\$16.4M	\$3.9M	0.34x	4.91x	\$45.6M	3.98x

Sensitivity and distributional downside

The named downside is a deterministic stress case. The conditional distribution is a separate set of 1,000 correlated scenario paths-not a forecast-and must not be read as investment accuracy.

CONDITIONAL PATH STATISTIC	P10	P50	P90
Gross MOIC	1.1x	2.7x	4.8x
Gross IRR	2.3%	22.6%	38.8%

- Probability below 1.0x MOIC: **7.8%** across 1,000 retained scenario paths.
- Probability of a modeled covenant breach: **0.3%** across 1,000 retained scenario paths.
- Probability of modeled payment default: **0.0%** across 1,000 retained scenario paths.

- Named downside floor: **6.2% IRR / 1.3x MOIC**; distributional p10: **2.3% / 1.1x**.

Entry value × exit multiple sensitivity

ENTRY / EXIT	5.5X	6.5X	7.5X
\$200M	21.5% / 2.6x	25.8% / 3.1x	29.7% / 3.6x
\$210M	19.0% / 2.4x	23.3% / 2.8x	27.0% / 3.3x
\$220M	16.8% / 2.1x	21.0% / 2.6x	24.7% / 3.0x

Underwriting thesis and counterthesis

Mission-critical grid software can support an attractive control investment, but only at a price that reflects definition quality and leverage fragility.

Counterthesis: Contract duration, parent concentration, services burden, and covenant EBITDA may make the apparent recurring-quality premium illusory.

Decisive drivers

- Durable regulated end-market demand
- Expansion inside utility parents
- Price realization after renewal test
- Support automation with identified synthetic effect

Team judgment - synthetic room only

No person-level management conclusion is identified from this synthetic data room. The observations below describe retained operating evidence and explicit diligence gaps, not reference-checked executive assessment.

DIMENSION	ASSESSMENT
Observable operating strengths	Synthetic operating teams retained monthly customer, billing, support, and P&L records sufficient for definition-level diligence. Synthetic support leadership executed a randomized pod rollout with measured operational outcomes.
Unproven capabilities	Management's ability to sustain complete-cohort retention under a redesigned renewal architecture. Finance's ability to close parent-account, credit, customer-success cost, and lender-EBITDA definition gaps.
Key-person risk	OPEN - the synthetic room contains no org chart, succession evidence, references, or person-level performance record; CRO and CFO execution dependency remains unverified.
Required hires / capacity	Value-creation PMO lead with source-to-KPI accountability. Revenue-operations owner for parent-level retention and contract-definition governance.

Falsifiers and open diligence

- Full-cohort NRR below 95%
- Top parent above 15%
- Normalized EBITDA below \$20M
- Downside covenant breach inside 18 months
- **Validate cancellation rights** Owner: Deal counsel. If unresolved: Reduce live-ARR credit or reprice if cancellation rights are broader than modeled.
- **Reconcile parent concentration** Owner: Commercial diligence lead. If unresolved: Re-underwrite concentration and price if master agreements reveal greater parent exposure.
- **Support seller EBITDA add-backs** Owner: QoE lead. If unresolved: Remove unsupported EBITDA and rerun leverage, covenants, maximum bid, and returns.
- **Confirm lender EBITDA and covenant definitions** Owner: Financing lead. If unresolved: Do not commit debt until add-backs, liquidity, and covenant headroom reconcile.
- **Cap earnout to verified live ARR** Owner: Deal lead / counsel. If unresolved: Do not credit implementation-dependent or cancellable revenue in contingent consideration.

Risk, mitigant, owner, and consequence

RISK / OPEN ITEM	MITIGANT OR REQUIRED PROOF	OWNER	FAILURE CONSEQUENCE
Cancellation-for-convenience exposure	Contract sample tied to billed and live ARR definitions	Deal team / counsel	Reduce price or tighten earnout eligibility
Parent concentration	Legal-parent map tied to master agreements	Commercial diligence lead	Retain HOLD; concentration-conditioned terms
Seller add-backs and lender EBITDA	QoE support plus lender-definition bridge	CFO / QoE lead	Reduce debt capacity and maximum bid
Renewal economics	Safer renewal design and replicated measurement	CRO	Zero broad price-led upside credit
Downside leverage	Monthly covenant and liquidity rerun	Financing lead	Reduce funded debt or entry value

Value creation

Combined modeled exit-equity impact is **\$84.3M**, equal to **\$82.5M** of standalone effects plus an explicit **\$1.8M** interaction residual.

Pure human-judgment effects are presented as an **≈\$33-\$99M illustrative 50-150% range** around the selected scenario; **\$16.3M** is mixed synthetic-causal and human judgment. No value-creation total is presented as an identified real-world effect.

INITIATIVE	CREDIT CLASS	IMPLEMENTATION COST	EXIT EBITDA	EXIT DEBT	EXIT EQUITY	IRR IMPACT
Renewal architecture	Analyst judgment	\$1.5M	\$6M	-\$10.2M	\$49.1M	3.4%
Support automation	Synthetic causal analysis plus analyst judgment	\$2M	\$1.9M	-\$3.8M	\$16.3M	1.3%
Delivery cost reset	Analyst judgment	\$2.5M	\$1.9M	-\$4.4M	\$17M	1.4%

Ownership cadence and board control

PHASE	TIMING	ACCOUNTABLE OWNER	REQUIRED MILESTONE	BOARD KPI	STOP RULE
Pre-close	Before signing	Deal lead / counsel	Resolve termination rights, parent mapping, QoE support, and lender EBITDA definitions.	Four open diligence conditions adjudicated	Remain HOLD or reprice terms if any condition changes ARR, EBITDA, or debt capacity.
Day 1	Close + 1 day	CFO / value-creation PMO	Lock the complete-cohort, fully burdened margin, and covenant-EBITDA data dictionary.	One signed metric dictionary with monthly close owner	No board target credit until definitions reconcile to the retained room.
Day 30	Close + 30 days	CFO	Launch parent-account contribution ledger and delivery-cost baseline.	100% billed ARR mapped to legal parent and contribution margin	Freeze delivery-cost initiative if ledger coverage is below 95%.
Day 100	Close + 100 days	CRO / Chief Customer Officer	Deploy segment renewal playbooks and the next support-automation cohort.	Complete-cohort NRR, renewal loss, resolution time, and gross churn	Zero renewal upside credit if churn worsens or support pretrends fail.
Year 1	Quarterly through month 12	Board / operating partner	Re-underwrite price, leverage, and the value bridge from realized monthly data.	ARR, burdened margin, cash conversion, leverage, liquidity, and initiative value	Reduce leverage or operating-case credit when downside headroom is not preserved.

Analytical boundary

This packet is generated from a fictional, deterministic data room. Synthetic causal estimates recover planted assignment mechanisms only. Conditional simulations are scenario distributions, not forecasts. The record is unsigned, the diligence conditions remain open, and no investment authority is delegated to the software.